(Please write your Enrollment Number) Enrollment No. 11001172022

MID-TERM EXAMINATION

(Course Name: B. Tech.) (Semester: 6th)

(March 2025) OFF LINE mode

Subject Code: HMC-306	Subject: Financial Management
Time : 1 ½Hours	Maximum Marks :30

Note:Q1 is compulsory. Attempt any twoparts of Q2 and Q3

Q1		(2.5*4=10)
	a) What is Financial Management, and why is it important for businesses?	
	b) Explain the Goal of Financial Management.	
	c) Explain the difference between bonds and debentures.	
	d) Explain the factors affecting capital structure.	
	UNIT I	
Q2	Attempt any two parts	(5*2=10)
	a) Define the Time Value of Money (TVM). Explain its significance with suitable examples and outline its key assumptions.	
	b) Describe the type of Decisions a financial manager has to take. Explain how these decisions are interrelated.	
	c) Mr Dhawan borrowed Rs. 7, 00,000 to buy a Machine. If he pays Equal Installments for 20 Years @8% P.A. Compute Amount of Installments	
	UNIT II	
Q3	Attempt any two parts	(5*2=10)
	a) 1. What do you understand by the term perpetual and irredeemable preference share?	2.5
	2. Define cost of Equity with relevant examples?	2.5
	b) Define WACC? Explain its significance in Financial decision-making with releyant examples.	5
	c) The following is the capital structure of ABC Ltd.	5

Sources of Capital	Amount	Cost of Capital of Sources
Equity Share Capital (shares of Rs. 500 each)	60,00,000	18%
14% Preference Share Capital (shares of Rs. each)	10,00,000	?
12% Debentures of Rs. Each	30,00,000	?

The tax rate for the given period is 20%. Calculate WACC.

Calculators are allowed.